

LIVEWIRE: 5 YEARS IN AND 1% OF PLAN • PART 4 OF 4

IT WAS DECIDED IN NOV 2025

The quarter was reported in July 2026.
The outcome was settled eight months
earlier, in a loan agreement.



FIFTEEN MONTHS, FIVE FILINGS



FEB 2024

\$100M convertible loan. If LiveWire can't repay, H-D converts to equity. Never drawn.

NOV 2025

Conversion feature REMOVED. Security interest over substantially all assets added. Covenants added.

DEC 2025

\$75M drawn. Interest accrues to maturity.

FEB 2026

"Does not plan to make additional investments."

MAY 2026

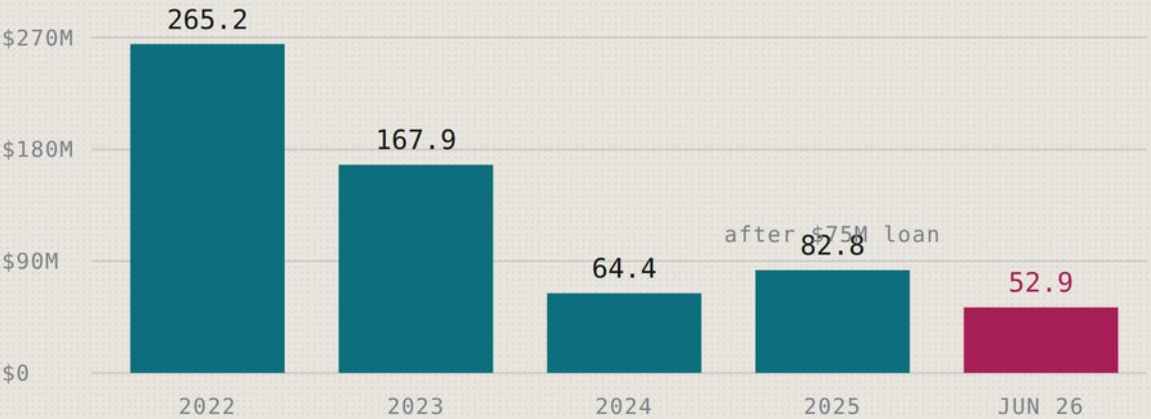
Five-year strategy. No LiveWire target. The word "electric" does not appear.



IN FIFTEEN MONTHS, HARLEY-DAVIDSON MOVED FROM PARENT TO SECURED CREDITOR.

Every step is a filed instrument with a date on it. What the sequence means is interpretation. That it occurred is not.

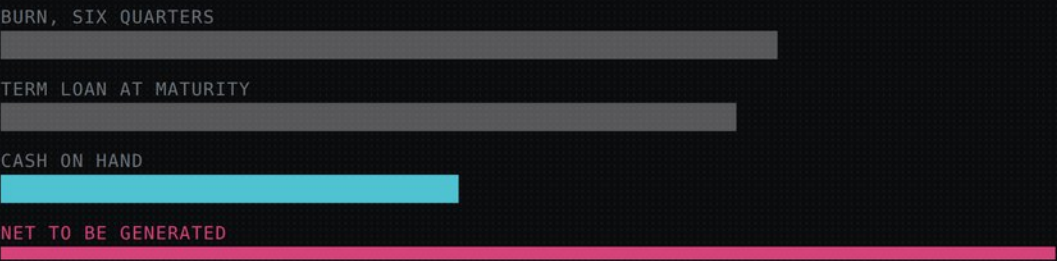
CASH, AND WHERE IT WENT



The 2025 increase is **borrowed money**,
not earned.

WHAT HAS TO BE FOUND BY 15 DECEMBER 2027

Burn, six quarters	\$89.7M
Term loan at maturity	\$85.0M
Less cash on hand	-\$52.9M
Net to be generated	\$121.8M



Interest accrues at SOFR + 4%,
compounding, with nothing payable until
maturity. The balance grows.

WHAT THAT MEANS IN MOTORCYCLES

LIVEWIRE – TTM

923

HONDA GROM – BEST SELLER IN THE SEGMENT

~10,000 a year, with Honda's dealer network

NEEDED TO CLEAR DECEMBER 2027

135,000

All three drawn to one scale. **Twenty-one Honchos per dealer, per week, for fourteen months.**

THE REALISTIC CASE

2,000

S4 HONCHOS GLOBALLY IN A STRONG FIRST YEAR



COVERS THIS MUCH OF ANNUAL BURN

3%

COVERS THIS MUCH OF THE DEC 2027 GAP

1.5%

Nothing below roughly **40,000 units** changes any conclusion.

CREDIT WHERE IT'S DUE · THE PEOPLE DID THE WORK



-47%

COST PER MOTORCYCLE · 2024 → Q2 2026

\$44,147 to \$23,172. Real engineering, real sourcing.

-18%

OPERATING CASH BURN · H1 26 VS H1 25

\$32.4M to \$26.4M. Disciplined.

45.6%

STACYC GROSS MARGIN · Q2 2026

The only segment that makes money. A real business.

105

DEALERS · 88 → 96 → 105

Cut the network 30%, then rebuilt it. Harder than building one.

171%

RETAIL GROWTH · Q2 2026

Retail beat wholesale. Dealer stock went down. Not channel stuffing.

\$4,999

S4 HONCHO · LAUNCHED

New platform, new price, new manufacturer, in the middle of all this.

WHY IT ISN'T ENOUGH



**WHAT THEY DON'T
HAVE IS A LINEUP
WITH VOLUME IN IT.
WHAT THEY CAN'T
GET IS A SET OF
CONTRACTS THAT
LET THEM WIN EVEN
IF THEY FOUND ONE.**

You cannot execute your way out of cost-plus, take-or-pay, a ninety-day trapdoor, and a secured note held by your own parent. Those were signed above their pay grade — some of them before most of them arrived.

THE FINAL WORD · HARLEY-DAVIDSON



HARLEY DIDN'T LEAVE. IT CHANGED SEATS.

It still builds the bikes, at cost-plus. Still charges the services fee. Still floors the dealers through HDFS. Now collects SOFR + 4% on \$76.8M secured on everything in the building, with a services agreement it can end on ninety days' notice.

It gets paid on the way up, on the way down, and on the way out. The 22% public float carries the risk without collecting a fee.

2026 WAS THE YEAR EVERYTHING WAS SUPPOSED TO HAPPEN. IT IS 2026. THEY ARE AT ONE PERCENT OF PLAN.



GROUND TRUTH NO. 01

That's the series. Ground Truth No. 02 takes up the parent: what LiveWire is doing to Harley-Davidson's own numbers.

Full brief — 14 sections in six parts, 260 filings, every source linked, corrections log published.

weppner58-moto.github.io/ground-truth